

APPENDIX 6: MULTI-NATIONAL CORPORATION FACT SHEET

Multinational Corporations (MNCs)

What & Why:

Simply put, MNCs are “profit-seeking enterprises with operations in at least two states” (Sens & Stoett, 498).

There is much debate over the role of MNCs in the global economy:

Some people regard MNCs as benign actors - focused on pleasing their shareholders, driven by the pursuit of profit, and contributing to efficient development, production and distribution of goods and services across the globe. Others express concern because MNCs are such powerful actors in terms of today's global economy and politics. A key illustration of this is the role that International Telephone and Telegraph (ITT) played in the overthrow of the Allende government in Chile in 1973 (Sens & Stoett, 143). Some regard MNCs as exploiters, profiting by taking advantage of the cheap labour and raw materials found in developing countries. Others still, point out that developed countries are losing out too, as MNCs are rediverting jobs towards developing countries.

The Debate over MNCs:

Do They Exploit Less Developed Countries (LDCs)? (Sens & Stoett, 144)

YES	NO
1. MNCs decapitalize LDCs. MNCs take more money in profit out of LDCs than they invest.	1. MNCs provide investment. MNCs invest a lot of their own money and attract foreign investors as well.
2. MNCs are obstacles to social progress. The profit motive makes MNCs unresponsive or opposed to progressive political change.	2. MNCs support peaceful domestic environments. MNCs require peace to operate effectively, and therefore have an interest in long-term stability.
3. MNCs contribute to inequality. MNCs create an elite socioeconomic class in LDCs, isolated from the poor majority.	3. MNCs create jobs. They have an interest in a capable workforce and provide training and education.
4. MNCs discourage indigenous development. They oppose efforts by LDCs to industrialize, as this would create domestic competition.	4. MNCs promote development. MNCs help create modern infrastructure, share technology and technique, and therefore create conditions conducive to domestic growth.
5. MNCs create dependence. LDC economies come to depend on MNCs for investment, technology, and markets.	5. MNCs increase fiscal resources of LDCs. MNCs create royalties and tax revenues for LDCs.
6. MNCs use LDCs as sources of raw materials. MNCs extract raw materials for a low price, manufacture products abroad, forcing LDCs to purchase expensive finished products.	6. MNCs give LDCs access to world markets. They provide a channel to markets for products as well as markets for purchase, enabling LDCs to access the global marketplace.

Who: There are about 37 000 MNCs worldwide. Associated with these are approximately 170 000 affiliates or subsidiaries (Sens & Stoett, 143). Examples of MNCs include: Pepsico, Mitsubishi, General Motors, Exxon, Nike, etc.

How: Typically, MNCs will have their headquarters or base of operations in one country - usually a developed country, like the United States, where they can make use of developed infrastructures, free access to capital, an educated and sophisticated workforce, and technology. Meanwhile, the MNC will own or operate other corporations/subsidiaries in other countries. Some MNCs engage in **joint ventures**: “the sharing of ownership of a subsidiary with another MNC, or with the host government, because of legal requirements or to reduce risk” (Sens & Stoett, 142). MNCs can also choose not to invest directly in other countries. Instead, they utilize **licensing agreements** with foreign companies/ governments - enabling them to produce the MNC's product for a fee and a percentage of the profits generated. In an attempt to avoid government

interference, many MNCs are engaging in **interfirm alliances** - a mixture of sub-contracting, partial mergers, and interfirm agreements.

References:

Peter S. Goodman, "Reebok, Nike, and Levi Strauss on the Prowl for Cheap Labor in Indonesia," *The Progressive*, June 26, 1993.

Sens, Allen, and Peter Stoett. *Global Politics: Origins, Currents, Directions*. Toronto: International Thomson Publishing, 1998.

Website:

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